

The Australian Government provides a range of primary producer tax benefits to help farmers protect agricultural land.

You may be able to claim a deduction for capital costs you incur on a Landcare operation, and riparian management works. This includes the establishment of shelterbelts on land used in an agricultural business.

Information on these tax benefits is available from the Australian Taxation Office (ATO):

## **Landcare Tax Operation**

The ATO defines a Landcare operation as one of the following activities:

- eradicating or exterminating animal pests and invasive plant growth detrimental to productive land
- preventing or combating land degradation, including erecting fences to keep out animals
- erecting fences to separate different land classes in accordance with an approved land management plan
- constructing drainage works to control salinity or assist in drainage control
- constructing a levee or similar improvement

## **Riparian management works**

These are works to stabilise and protect the banks and land adjacent to creeks, streams and other waterways. This includes:

- fencing
- revegetation
- off stream stock watering
- weed/pest management.

You can claim the cost of fencing to keep livestock out of creeks or other waterways that run through your farmland. You can also claim off-point water supply installations including pumps, pipes and other components to get water into a trough from a waterway.

Generally you cannot claim a deduction for the capital costs primarily for riparian management works. This includes:

- site preparation costs
- costs associated with purchasing plants, planting and replanting.

For more information, view the ATO fact sheet [Landcare, riparian and similar expenses](#).

# Approved Land Management Plans

There are circumstances where farm fences do not fit within the purposes above. In these cases, costs for fencing may be claimed as a deduction where fences are erected to separate different land classes in accordance with an approved land management plan.

For more information, visit [ATO Landcare operations](#).

A register of authorised consultants who can prepare land management plans is held by the department. To apply to be on the register you should read the following guidelines and complete the [Application for the Register of Consultants \[PDF, 54KB\]](#) 

Send your application to:

Landcare Tax  
Rural Policy and Farm Performance Division  
Department of Agriculture, Fisheries and Forestry  
GPO Box 858 Canberra ACT 2601 Australia

If you have difficulty accessing these files, visit [web accessibility](#).

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/natural-resources/landcare/tax>